DAILY DEBRIEF 7 (02/23/2026)

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Global equities retreat on AI-disruption fears, tariff uncertainty and geopolitical risk; US stocks close near lows with software, financials and cyclicals leading declines while defensives, energy and precious metals miners outperform. Treasuries rally with a belly bid, the dollar softens, gold and silver jump, bitcoin slides, and crude is little changed amid Iran strike speculation and post-SCOTUS trade shifts. Data are mixed and the Fed stays data-dependent, while NVDA earnings, AI capex, private credit exposure and software disruption drive positioning.

Stocks

USA	Europe	APAC
S&P 500 -1.04%	DAX -1.06%	Hang Seng +2.53%
NASDAQ -1.13%	Euro Stoxx 50 -0.28%	Nikkei 225 -1.12%
Dow Jones -1.66%	FTSE 100 -0.02%	CSI 300 -1.25%

As of 5:00 PM ET

Commodities

Energy	Metals	Agriculture
WTI Crude -0.24%	Spot Gold +2.35%	Corn +0.23%
Brent Crude -0.36%	Spot Silver 0.00%	Coffee -2.68%
HH Nat Gas -2.10%		Cotton -0.75%

As of 5:00 PM ET

Market Overview

U.S. equities sold off sharply, finishing near session lows as AI-disruption fears, tariff uncertainty and geopolitical risk drove a clear risk-off tone. The Dow fell 1.66%, the S&P 500 1.04%, the Nasdaq 1.13% and the Russell 2000 1.61%. Software and financials led declines, while defensives offered only partial cushion. Treasuries rallied with yields down 5–6 bp in the belly, the dollar slipped modestly, gold and silver surged, bitcoin dropped over 5%, and crude was little changed.

Equities

Weakness centered on software (notably cybersecurity), banks, private equity, payments and consumer cyclicals including airlines, retail and leisure. AI disruption concerns, amplified by a widely circulated research note, spilled from software into private credit and broader tech-linked exposures. Financials were pressured by fears AI could slow fundraising and delay exits, adding to scrutiny around record PE backlogs and tech credit risk. Relative strength appeared in precious-metals miners, energy, pharma/biotech, P&C insurers, exchanges and select healthcare distributors. Single-stock dispersion remained elevated, with M&A activity and AI-related headlines driving outsized moves.

Macro & Rates

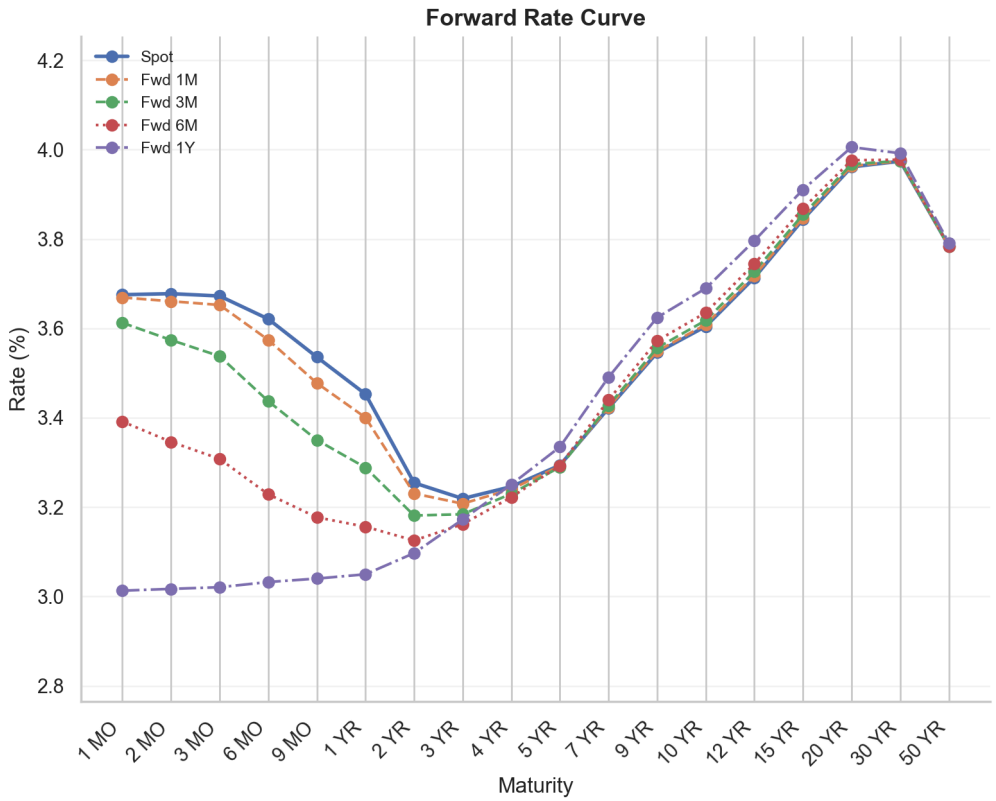
Data were mixed. December factory orders unexpectedly contracted, while the February Dallas Fed survey showed steady activity but easing price pressures. Fed Governor Waller described a March rate cut as a “coin flip,” reinforcing a data-dependent stance amid signs the labor market may be stabilizing. Policy uncertainty remains elevated after the Supreme Court invalidated IEEPA tariffs, with the administration pivoting to alternative trade authorities. The shift is viewed as tactical rather than a reversal of the broader tariff strategy, keeping the macro backdrop fluid.

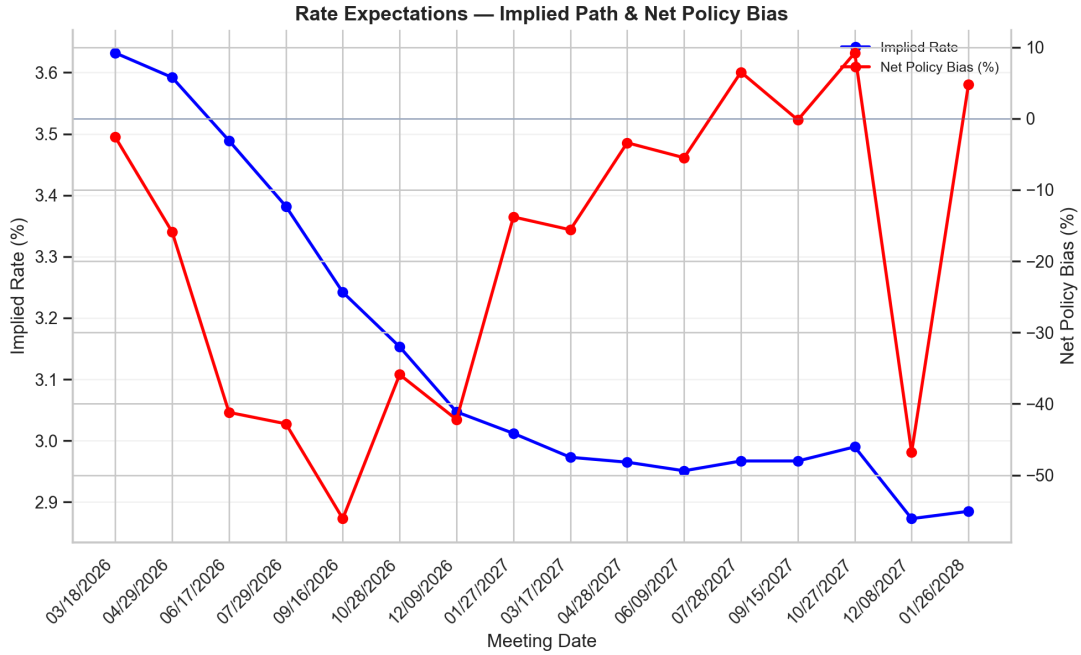
FX & Commodities

The dollar index edged lower. Gold (+2.8%) and silver (+5.1%) rallied sharply on safe-haven demand, while bitcoin futures fell 5.2% amid risk aversion. WTI crude slipped 0.3%, balancing diplomatic momentum ahead of renewed U.S.-Iran talks with lingering strike speculation. Broader commodity signals were mixed.

Geopolitics

Attention remains fixed on U.S.-Iran diplomacy ahead of Thursday talks, though evacuation orders and military advisories underscore escalation risks. Markets outside energy have largely absorbed the headlines, but oil continues to reflect embedded geopolitical premiums. Trade tensions also remain in focus following the Supreme Court tariff ruling, with global partners reassessing negotiations amid continued policy uncertainty.


Forward Rate Curve
Spot
Fwd 1M
Fwd 3M
Fwd 6M
Fwd 1Y
Rate (%)
4.2
4.0
3.8
3.6
3.4
3.2
3.0
2.8
1 MO
2 MO
3 MO
6 MO
9 MO
1 YR
2 YR
3 YR
4 YR
5 YR
7 YR
9 YR
10 YR
12 YR
15 YR
20 YR
30 YR
50 YR
Maturity


Rate Expectations — Implied Path & Net Policy Bias
Implied Rate
Net Policy Bias (%)
Implied Rate (%)
3.6
3.5
3.4
3.3
3.2
3.1
3.0
2.9
Net Policy Bias (%)
10
0
−10
−20
−30
−40
−50
03/18/2026
04/29/2026
06/17/2026
07/29/2026
09/16/2026
10/28/2026
12/09/2026
01/27/2027
03/17/2027
04/28/2027
06/09/2027
07/28/2027
09/15/2027
10/27/2027
12/08/2027
01/26/2028
Meeting Date